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24STCV01680 Sanfi Properties, LLC, et al. v. Jebarah

Investments, et al.

Tuesday,

July 28, 2026

[TENTATIVE] ORDER GRANTING PLAINTIFFS SANFI PROPERTIES, LLC, KHALED FATHI SHALABI AND OSAMAH FATHI KHALED'S MOTION FOR JUDGMENT ON THE PLEADINGS TO THE THIRD THROUGH SEVENTH CLAIMS IN DEFENDANTS JEBARAH INVESTMENTS, EYAD JEBARAH, MUJAHED JEBARAH AND JENIN HOME FURNISHINGS, INC.'S CROSS-COMPLAINT (9619)

I. BACKGROUND

The

second amended complaint ("SAC") filed on September 16, 2024, arises from the parties' dispute over their individual interests in various parcels of real property. Plaintiffs contend that Defendants have exercised dominion and control over the real property by fraud. Plaintiffs allege claims for fraudulent concealment, slander of title, conversion, violation of Penal Code section 496, cancellation of instruments, and declaratory relief.

Defendants

filed a Cross-Complaint asserting affirmative relief for breach of contract, common counts, conversion, breach of fiduciary duty, declaratory relief and intentional misrepresentation.

Plaintiffs/Cross-Defendants,

Sanfi Properties, LLC, and Khaled Fathi Shalabi, ("Cross-Defendants") move for

judgment on the pleading of the following claims (3) conversion, (4) breach of fiduciary duty, (5) unjust enrichment, (6) declaratory relief and (7) for constructive trust.

II. LEGAL STANDARDS

The

two statutory grounds for a defendant's motion for judgment on the pleadings is either that the court does not have jurisdiction of the subject of the cause of action, or the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc., § 438, subd.

(c)(B).) A motion for judgment on the pleadings performs the same function as a general demurrer and attacks only defects disclosed on the face of the pleadings or by matters subject to judicial notice. Respondents. (Burnett v. Chimney Sweep (2004) 123 Cal.App.4th 1057, 1065 ["a motion for judgment on the pleadings, like a demurrer, raises only questions of law ... :".])

For the purposes of

this motion, all properly alleged material facts are deemed true as well as all facts that may be implied or inferred from those expressly alleged. (Fire Ins. Exchange v. Superior Court (2004) 116 Cal.App.4th 446, 452).

III.

ARGUMENTS

Cross-Defendants

argue the third through sixth causes of action are barred by the statute of limitations; the claim for conversion fails because real property cannot be the subject of a conversion; the claim for constructive trust is not a cause of action; and Cross-complainants have conceded during the meet and confer process that the claims for conversion and constructive trust are not actionable as plead.

Cross-Complainant

concedes in opposition that the conversion and constructive trust claims may require amendment, but the claims are not defeated by the statute of limitations.

In

reply, Cross-Defendants argue that none of the accrual doctrines raised by cross-complainants apply, and the declaration relief claim remains time barred.

IV. DISCUSSION

As

Cross-complainants concede the claims for conversion and constructive trust are not well plead, the analysis will address the statute of limitations argument.

In

order for the court to sustain demurrer (which functions in the same way as a motion for judgment on the pleadings) to the complaint based on a statute of limitations defect, “the defect must clearly and affirmatively appear on the face of the complaint... . A demurrer will not lie where the action may be but is not necessarily barred.” (Citizens for a Responsible Caltrans Decision v. Department of Transportation (2020) 46 Cal.App.5th 1103, 1117; Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1398.)

Cross-complainants

are Eyad Jebarah (“Eyad”) and Mujahed Jebarah (“Mujahed”) (collectively “the Brothers”) who are sons of non-party Mustafa Jebarah (“Mustafa”) and beneficiaries of Mustafa’s estate.

Cross-Defendants

are Osamah Fathi Khaled (“Osamah”), and Sanfi Properties, LLC (“Sanfi”), whose sole owner and member is Khaled Fathi Shalabi (“Khaled”).

The

claims for breach of fiduciary duty, unjust enrichment, and declaratory relief all arise from the same set of alleged facts: that in or around October of 2012, Khaled, while acting as a fiduciary of and trustee for Eyad and Mujahed, used trust funds to purchase real property and created Sanfi to hold title to the property. (Cross-Complaint ¶ 34.) In 2017, Khaled held assets valued at \$9,465,924 that rightfully belong to The Brothers. Khaled allegedly transferred to The Brothers real property and/or cash proceeds from the sale of real property leaving \$4,265,924 that rightfully belonged to The Brothers (Cross-Complaint ¶ 36.) Despite demands, Khaled refuses to return these assets. (Cross-Complaint ¶ 37.)

Cross-Defendants

argue these facts show that The Brothers knew as early as 2017 that Khaled held assets belonging to them and only a portion of them were transferred, citing *Zamora v. Lehman* (2013) 214 Cal.App.4th 193. In *Zamora* the complaint alleged that the plaintiff became aware of the facts underlying the breach of fiduciary duty on a certain date. (Id. at 24.)

It

cannot be determined based on the allegations of the complaint that The Brothers knew in 2017 or 2018 that Khaled was breaching his fiduciary duty. Something occurred in 2017 that resulted in Khaled transferring assets to The Brothers. What happened is not clear because the allegations are missing a word: “In or around 2017 to 2018, to transfer a portion of

these assets to Eyad and Mujahed, Khaled transferred the following properties and or cash proceeds.”

The

statute of limitations for a breach of fiduciary duty claim depends on the gravamen of the claim. If it is based on alleged fraud, the three-year statute of limitations would apply. (*Thomson v. Canyon* (2011) 198 Cal.App.4th 594, 607.) If not, the four year “catch all” applies. (*David Welch Co. v. Erskine & Tulley* (1988) 203 Cal.App.3d 884, 893.)

The

Cross-Complaint alleges that three weeks before February 26, 2019 (which works out to February 5, 2019), The Brothers met with Khaled to discuss the remaining \$4,265,924 of assets owed to them. (Cross-Complaint ¶ 58.) Khaled acknowledged that the \$4,265,924 of assets was owed but only considered \$1,900,000 of that amount was past due. (Id.) The Brothers asked and Khaled agreed that the \$1.9 million would be secured by the San Fernando and Downey real property. (Id.) At the end of three years, Khaled would either pay the \$1.9 million plus interest or would transfer the two parcels of property to The Brothers (Id.) Khaled never made a single payment and refused to transfer the real property. (Id.)

Khaled

had three years to fulfill his promise – by February 5, 2022, which Khaled refused to do. Therefore, the breach of fiduciary duty occurred on that date. Cross-complainants

allege that the promises were fraudulent (8th cause of action).

Therefore, the three-year statute of limitations applicable to fraud applies, which means the breach of fiduciary duty claim accrued on February 5, 2022. The claim expired three years later on February 5, 2025. Cross-complainants filed the Cross-Complaint on February 18, 2025. Based on the allegations, these causes of action, to the extent they are based on breach of fiduciary duty and fraud claims are barred.

B. Continuing
accrual doctrine.

Cross-complainants

argue that the continuing accrual doctrine applies, citing *Aryeh v. CVanon Business Solutions, Inc.* (2013) 55 Cal.4th 1185. *Aryeh* discusses

the continuing violations doctrine, an equitable doctrine that applies when “[a]llegations of a pattern of reasonably frequent and similar acts may, in a given case, justify treating the acts as an indivisible course of conduct actionable in its entirety, notwithstanding that the conduct occurred partially outside and partially inside the limitations period.” (Id. at 1198.)

Requiring that plaintiffs’ comply within the limitations period for each discrete acts of misconduct would “force employees to bring actions for ‘discrete acts; of retaliation that have not yet become ripe for adjudication, and that the employee may not yet recognize as part of a pattern of retaliation, is fundamentally incompatible with the twin policy goals of encouraging informal resolution of disputes and avoiding premature lawsuits.” (*Yanowitz v. L’Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1058.)

Under this doctrine, each breach of a recurring obligation is independently actionable. ... A cause of action accrues upon each new breach of such an obligation and thus triggers a new limitations period. (Ibid.) The continuous accrual doctrine has been applied where performance of contractual obligations is divisible into intervals. ... Where divisible, a cause of action for breach of performance as to any particular interval must be brought within the period of limitations after that particular performance was due.” (*Eloquence Corp. v. Home Consignment Center* (2020) 49 Cal.App.5th 655, 661.)

This doctrine does not apply because Khaled’s duty to either pay the money or transfer the real property was required on a date certain, and Khaled allegedly refused to do that on the agreed upon date.

C. Delayed accrual

Cross-complainants argue that the date a breach of fiduciary duty claim accrues is postponed until the beneficiary has knowledge or notice of the act constituting a breach of fidelity. In other words, the discovery rule applies. (WA Southwest 2, LLC v. First American Title Ins. Co. (2015) 240 Cal.App.4th 148, 156.) Cross-complainants do not allege facts to show they did not discover the breach of fiduciary duty on any other date. Cross-complainants argue that the statute of limitations is revived because of subsequent acknowledgments and restructuring. To the extent the parties subsequently agreed, after February 5, 2022, to extend payment, these facts are not alleged.

D. Equitable estoppel

This doctrine applies “only after the limitations period has run and addresses ... the circumstances in which a party will be estopped from asserting the statute of limitations as a defense to an admittedly untimely action because his conduct has induced another into forbearing suit within the applicable limitations period. [Equitable estoppel] is wholly independent of the limitations period itself and takes its life ... from the equitable principle that no man [may] profit from his own wrongdoing in a court of justice.” (Lantzy v. Centex Homes (2003) 31 Cal.4th 363, 383.) Cross-complainants have not alleged facts showing Khaled induced Cross-complainants to delay filing suit.

E. Declaratory relief

This claim seeks a declaration of the rightful owner of the San Fernando property. To the extent this claim is derived from the fiduciary duty claim or the fraud claim, it is time barred.

V.

CONCLUSION

When a complaint is apparently barred by the statute of limitations, “plaintiff must plead facts which show an excuse, tolling, or other basis for avoiding the statutory bar.” (Spray, Gould & Bowers v. Associated Internat. Ins. Co. (1999) 71 Cal.App.4th 1260, 1266, fn 4.)

Accordingly, the motion for judgment on
the pleadings is GRANTED with leave to amend.